

CANDIDATE – PLEASE NOTE!

PRINT your name on the line below and return this booklet with your answer sheet. Failure to do so may result in disqualification.

TEST CODE **01240010**

FORM TP 2014105

MAY/JUNE 2014

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

CARIBBEAN SECONDARY EDUCATION CERTIFICATE®

EXAMINATION

PRINCIPLES OF BUSINESS

Paper 01 - General Proficiency

1 hour 15 minutes

28 MAY 2014 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 1 hour and 15 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money that a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer

(A) (B) ☒ (C) (D)

The best answer to this item is “income”, so answer space (C) has been shaded.

5. If you want to change your answer, erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to this item later. Your score will be the total number of correct answers.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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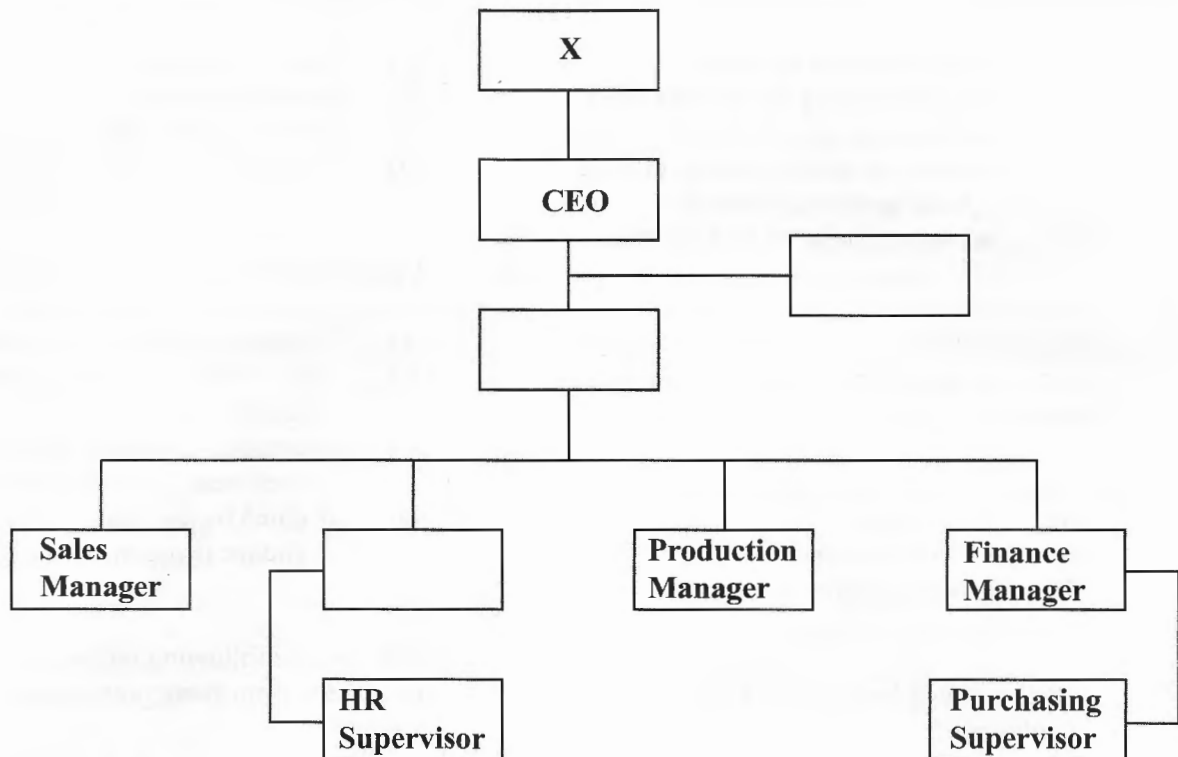
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1. Barter is BEST described as the
 - (A) process of exchange involving the use of money
 - (B) purchase of goods and services using cheques
 - (C) exchange of goods and services without the use of money
 - (D) exchange of goods and services using notes and coins
2. Labour is BEST defined as the
 - (A) physical and mental capabilities used to perform tasks
 - (B) ability to carry out management functions effectively
 - (C) level of skills training received by individuals who are working
 - (D) total number of persons who hold jobs in government ministries
3. Which of the following is NOT a trading instrument?
 - (A) Cheques
 - (B) Credit cards
 - (C) Bills of exchange
 - (D) Money remittance
4. The term 'trade' refers to
 - (A) the selling of goods and services on the stock market
 - (B) the movement of immigrants from one country to another
 - (C) any commercial activity involving the exchange of goods and services
 - (D) the negotiation process between trade unions and management
5. In a public limited company, the losses are borne by the
 - (A) staff
 - (B) directors
 - (C) community
 - (D) shareholders
6. The PRIMARY role of the human resource department of an organization is to
 - (A) hire, recruit, train and motivate workers
 - (B) promote recreational activities for workers
 - (C) assist employees in understanding industrial relations
 - (D) produce magazines highlighting outstanding workers

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Items 7–8 refer to the following diagram.



7. The purchasing supervisor reports directly to which of the following?
- (A) CEO
 - (B) HR Supervisor
 - (C) Finance Manager
 - (D) Production Manager
8. Which of the following positions would be BEST suited at 'X'?
- (A) Chief Advisor
 - (B) Board of Directors
 - (C) Managing Director
 - (D) Human Resource Manager
9. Which of the following departments is **LIKELY** to use its Management Information System (MIS) to manage information about customers and their response to the products they sell?
- (A) Finance
 - (B) Marketing
 - (C) Production
 - (D) Human Resource
10. Subsidised meals for employees would fall under which of the following categories?
- (A) Fringe benefits
 - (B) Duty allowance
 - (C) Wages and salaries
 - (D) Workmen's compensation

11. A MAJOR role of a trade union is to encourage the
- (A) unionization of workers
 - (B) advancement of the welfare of its members
 - (C) sacking of workers whenever they have problems at work
 - (D) increase of salaries and vacations
12. An entrepreneur who wants to maintain control of the business would be advised to register the business as a
- (A) Sole Trader
 - (B) Partnership
 - (C) Limited Company
 - (D) Private Limited Company
13. Which of the following is NOT an example of collateral?
- (A) Bonds
 - (B) Stocks
 - (C) Property
 - (D) Money orders
14. The MOST important use of collateral security to the lender is that it
- (A) can be seized if the borrower fails to pay
 - (B) establishes the financial position of the borrower
 - (C) improves the borrower's chance of getting a loan
 - (D) gives the lender an idea of the state of the business
15. The synopsis of the business plan is contained in the
- (A) feasibility plan
 - (B) marketing plan
 - (C) keynote summary
 - (D) executive summary
16. A post-dated cheque is one which
- (A) is dated for payment at a future date
 - (B) was written no longer than six months ago
 - (C) is dated to agree with the date of the document requesting payment
 - (D) is dated by the bank on the day the cheque is presented for payment
17. Which of the following factors prevents an agreement from being considered a valid contract?
- (A) Consideration
 - (B) Legal purpose
 - (C) Misrepresentation
 - (D) Offer and acceptance
18. A contract may be discharged by which of the following?
- I. Breach
 - II. Performance
 - III. Lapse of time
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
19. A 'purchase order' is a
- (A) request for additional goods
 - (B) notification of goods received
 - (C) statement of outstanding debts
 - (D) document offering to buy goods

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20. Which of the following types of cheques allows an individual to receive cash on demand?
- (A) Open
(B) Crossed
(C) Certified
(D) Banker's
21. Which of the following types of capital is used for the day-to-day operations of a business?
- (A) Fixed
(B) Floating
(C) Working
(D) Nominal
22. Which of the following factors of production earns interest?
- (A) Land
(B) Capital
(C) Labour
(D) Enterprise
23. The term 'human resources' refers to
- (A) materials and goods made by human beings
(B) capital invested by shareholders in a company
(C) raw materials used in the manufacture of goods
(D) persons available for productive and professional services
24. Which of the following items is a product of the manufacturing industry?
- (A) Gold
(B) A car
(C) Wood
(D) A house
25. Which of the following conditions would constitute a linkage between two industries?
- (A) Two firms manufacture similar goods.
(B) One firm shares the use of machinery with another firm.
(C) Two firms are responsible for the manufacture of different kinds of goods.
(D) The output of one industry of the economy becomes the input of another industry.
26. Which of the following is a feature of perfect competition?
- (A) Few buyers and many sellers
(B) Many buyers and few sellers
(C) Barrier to entry into the market
(D) Many buyers and many sellers
27. Which of the following is an example of service-type production?
- (A) Oil mining
(B) Pottery making
(C) Communication
(D) Newspaper printing
28. The PRIMARY function of advertising is to
- (A) promote brand loyalty
(B) promote public relations
(C) communicate information
(D) ensure wider distribution of goods
29. Which of the following is NOT a function of the retailer?
- (A) Preparing goods for resale
(B) Selling in small quantities
(C) Providing a local supply of goods
(D) Transporting goods to suitable storage facilities

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30. Which of the following market situations is typically found where there are a large number of producers and consumers?
- (A) Oligopoly
 - (B) Monopoly
 - (C) Perfect market
 - (D) Imperfect market
31. Which of the following gives identity to a specific producer's goods?
- (A) Label
 - (B) Brand
 - (C) Patent
 - (D) Copyright
32. In which of the following types of trade can the hire purchase method of buying be used?
- (A) Retail
 - (B) Import
 - (C) Foreign
 - (D) Wholesale
33. The price of an article is usually high when there is a
- (A) large quantity for sale and few people wanting to buy
 - (B) small quantity for sale and few people wanting to buy
 - (C) large quantity for sale and many people wanting to buy
 - (D) small quantity for sale and many people wanting to buy
34. Market equilibrium exists when
- (A) buyers pay reasonable prices for goods
 - (B) sellers are satisfied with the prices paid for their goods
 - (C) at current prices, the amount buyers wish to buy equals the amount sellers want to sell
 - (D) at the ruling market price, buyers do not want to add to the stock of goods they already have
35. Which of the following may cause the bank to dishonour a cheque?
- I. Cheque is crossed
 - II. Irregular signature
 - III. Cheque is post-dated
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
36. Which of the following is a function of the commercial bank and NOT the central bank?
- (A) Providing personal loans
 - (B) Carrying out monetary policy
 - (C) Giving advice to government
 - (D) Managing the financial sector
37. Which of the following are characteristics of a stock market?
- (A) Costs and prices
 - (B) Risks and benefits
 - (C) Rent and investment
 - (D) Premium and reward

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38. Tom invests his savings by buying shares in a company. From this investment Tom expects to receive
- (A) profits
 - (B) interests
 - (C) revenues
 - (D) dividends
39. One of the MAJOR functions of a Central Bank is to
- (A) issue notes and coins
 - (B) issue stocks and shares
 - (C) accept deposit accounts
 - (D) make loans and advances
40. Investment can be defined as
- (A) the stock of goods in a country
 - (B) additions to the capital stock of a country
 - (C) the amount of money available at a given time
 - (D) the amount of capital owned by the government
41. Which of the following forms of taxation is imposed on goods produced in a country?
- (A) Excise duty
 - (B) Preference duty
 - (C) Excise drawback
 - (D) Customs drawback
42. A price control may be defined as a
- (A) tax on goods and services
 - (B) government ban on imports
 - (C) government limit on the price of a good or service
 - (D) grant given to producers to reduce their prices
43. Which of the following is NOT regarded as a role of taxation?
- (A) To raise revenue for government
 - (B) To influence the distribution of incomes and wealth
 - (C) To influence total expenditure on goods and services
 - (D) To influence the investment decisions of publicly owned enterprises
44. Which of the following actions by government is MOST likely to lead to an improvement in the standard of living?
- (A) Printing more money
 - (B) Increasing the income tax rate
 - (C) Abolishing taxes on low incomes
 - (D) Giving tax incentives to businesses
45. Which of the following forms of taxation can be classified as 'direct'?
- (A) Income tax
 - (B) Excise duty
 - (C) Purchase tax
 - (D) Customs duty
46. Governments offer subsidies to businesses to
- (A) force them to pay corporation tax
 - (B) increase costs and ultimately prices
 - (C) reduce the costs and ultimately prices
 - (D) increase the price of imported goods
47. Which of the following forms of taxation requires every employee to pay the same percentage of his salary in taxes?
- (A) Indirect
 - (B) Regressive
 - (C) Progressive
 - (D) Proportional

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48. In calculating Net National Product, depreciation refers to the
- (A) increase in the price level
 - (B) decrease in the price level
 - (C) decrease in capital stock value
 - (D) increase in capital stock value
49. Inflation can BEST be described as
- (A) fluctuations in the general price level
 - (B) a general and sustained rise in the level of prices
 - (C) a fall in the level of prices of goods and services
 - (D) changes in the level of prices of goods and services
50. Export licences are issued MAINLY to
- (A) encourage local businesses to produce more goods for export
 - (B) enable the government to control the flow of goods being exported
 - (C) indicate to the importing country that the goods are of a high standard
 - (D) indicate to the importing country the price at which the goods are to be sold
51. The term 'trade in securities' refers to
- (A) the selling of goods and services on the stock market
 - (B) the movement of immigrants from one country to another
 - (C) the negotiation process between trade unions and management
 - (D) any commercial activity involving the exchange of goods and services
52. Which of the following is NOT a feature of free trade?
- (A) Protectionism
 - (B) Trade specialization
 - (C) Increase in world output
 - (D) Comparative cost advantage
53. The total value of goods imported minus the total value of goods exported is referred to as
- (A) balance of trade
 - (B) total currency flow
 - (C) balance of payments
 - (D) current account balance
54. A quota can BEST be described as
- (A) a ban on the sale of goods
 - (B) a licence given to import goods
 - (C) an external tariff among countries
 - (D) a restriction on the quantity imported
55. The term 'economic dualism' defines an economy in which one sector is
- (A) highly dependent on local capital
 - (B) highly dependent on foreign capital
 - (C) overpopulated while the other is underpopulated
 - (D) technologically advanced while the other is technologically retarded
56. To correct an adverse balance of payments, a government may
- (A) reduce credit
 - (B) increase exports
 - (C) reduce income tax
 - (D) increase the money supply

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57. The purpose of CARICOM is to
- (A) allow member states to collaborate
 - (B) foster interregional trade and common services
 - (C) encourage the transfer of technology within the region
 - (D) allow for unrestricted movement of persons among the territories
58. The MAJOR aim of the European Union (EU) is free movement of
- I. goods
 - II. people
 - III. capital
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
59. In periods of inflation, the ability to raise additional capital for expansion is MOST likely to be a problem for
- (A) sole traders
 - (B) partnerships
 - (C) public companies
 - (D) multi-national corporations
60. Which of the following countries are NOT members of the Organization of Eastern Caribbean States (OECS)?
- (A) Anguilla and Grenada
 - (B) Guyana and Bahamas
 - (C) Barbados and Jamaica
 - (D) Dominica and St. Lucia

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.